



Lean Model Canvas (LMC)

A variation of the traditional Business Model Canvas that specifically focuses on the needs of startups and early-stage ventures.

Excel Review Center

The Lean Model Canvas replaces **Key Partners, Key Activities, Key Resources, and Customer Relationships** of the BMC with the following:

Problem: Describes the customer problem that the business aims to address.

Solution: Outlines the unique solution that the business offers to solve the identified problem

Key Metrics: Identifies the key performance indicators (KPIs) or metrics that are essential for measuring the success and progress of the business.

Unfair Advantage: Represents the distinctive factors or assets that give the business a competitive edge over competitors.

Financing

Financing is the act of raising money.

Equity Financing

Excel Review Center

This involves selling shares of ownership in the business to investors in exchange for capital. The investors become shareholders and have a stake in the company's performance and profits. This can include private equity, venture capital, angel investors, and crowdfunding.

Debt Financing

This involves borrowing money from lenders, such as banks, financial institutions, or individual investors, with an agreement to pay back the principal plus interest over time.

Grants

This involves obtaining funding from government agencies, non-profits, or other organizations that provide financial support for specific projects, research, or initiatives.

Bootstrapping

This involves funding the business using personal savings, credit cards, or other personal resources without seeking external funding.

Strategic Partnerships

This involves forming strategic alliances with other businesses or organizations that can provide capital, resources, or expertise in exchange for a stake in the company or other benefits. This can include joint ventures, licensing agreements, or co-development partnerships.

Initial Public Offering (IPO)

This involves selling shares of the company to the public through a stock exchange, providing access to a wider pool of investors and potentially raising a large amount of capital. However, IPOs can be complex and expensive, and require extensive regulatory compliance and reporting requirements.



Accounting

Accounting is the process of recording, summarizing, analyzing, and reporting financial transactions and information of a business or organization. It provides insights into the financial health, performance, and position of the entity.

Excel Review Center



What is the double-entry system?

Accounting follows a double-entry system, which means that every financial transaction has two entries. One entry represents a debit (increase) and the other entry represents a credit (decrease) in different accounts.

This system ensures that the accounting equation (**Assets = Liabilities + Equity**) remains balanced.

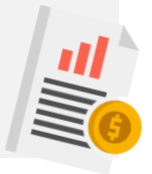
Excel Review Center

Financial Statements

Key reports that summarize the financial activities and position of a business.

Income Statement

Aka **Profit and Loss Statement**, this shows the revenues, expenses, and resulting net income or net loss over a specific period.



Balance Sheet

A summary of the basic accounting equation, this represents the assets, liabilities, and equity of a business at a specific point in time, illustrating the financial position.



Cash Flow Statement

Provides information about the cash inflows and outflows from operating, investing, and financing activities



Statement of Changes in Equity

Details the changes in equity accounts, including capital contributions, net income, dividends, and other adjustments.

Excel Review Center